BOT 1 (PMUS) HONEST 48-HOUR POSTMORTEM & INTERROGATION

Date: October 26, 2026 (19:28 UTC Snapshot) | Host: 52.16.177.132 (pmus.service @ commit d5b8362) | Method: 4-Worker Swarm + 3-Model Interrogation

CANDID VERDICT: YOU WERE NOT IMAGINING THINGS. Over Oct 25 and Oct 26 (43.5 hours), your wallet earned **+$25.90** in settled LIP rewards (+$15.90 Oct 25, +$10.00 Oct 26) while losing **-$38.35** on closed CLOB sells (-$28.87 from Bot 1's automated LIQUID_STOP_UNWIND orders and -$12.03 from manual UI sells, net of +$2.54 scratches) plus a **-$19.35 (-100%)** unredeemed $0.00 NFL wipeout on Miami Dolphins, for a **-$31.80 true net loss**. At **18:59:24 UTC today** (17 minutes before your message), Bot 1 tripped its $15.00 daily loss stop ($16.70 SQLite loss / $17.42 settled USDC loss) and canceled all orders. Yet 22 minutes later (19:21:50 UTC), its hourly webhook texted you *'Today: $8.48 (Proj 24h: $10.51) | Active: 5 pairs | Cash: $176.52'* with zero mention of trading losses or the halt. In addition, unless pmus.service is explicitly stopped before 00:00 UTC tonight, the daily loss stop will auto-reset at midnight and resume trading.

1. Verified On-Chain & SQLite Accounting (Oct 13 to Oct 26, 2026)

Reconciled directly from Polymarket Data API (/activity, /positions, /value), Polygon CTF contract 0x4D97DCd97eC945f40cF65F87097ACe5EA0476045, and VPS SQLite ledger.db:

Metric (USD)	Today (Oct 26)	48h (Oct 25-26)	14-Day (Oct 13-26)
Actual LIP REWARD Settled On-Chain	+$10.00	+$25.90	+$260.13
Maker Fee Rebates (MAKER_REBATE)	$0.00	$0.00	+$18.35
Realized CLOB Sell PnL	-$17.42	-$38.35	-$444.90
Redeemed $0.00 Resolution (Oct 18 lukxo)	$0.00	$0.00	-$44.33
Net Realized Cash PnL (REWARD + Sells)	**-$7.42**	**-$12.45**	**-$229.09**
Unredeemed $0.00 Wipeouts Bought in Window	$0.00	-$19.35 (Dolphins)	-$19.39
Unrealized MTM on Live Positions (Alibaba, Ruck)	+$0.01	+$0.01	-$21.96
Frozen CTF Shares in 2 Archived Oct 21 PHP Markets	$0.00	$0.00	-$59.15 (frozen)
True Economic Net PnL (ex-rebates)	**-$7.40**	**-$31.78**	**-$329.59**

Current Wallet Snapshot (19:28 UTC): $176.52 free USDC collateral + **$25.51** live share MTM ($24.70 Alibaba Yes [cost $33.15], $0.65 Markus Ruck Yes [cost $14.17], $0.16 Tyreek Hill No dust) = **$202.02 visible equity** (0 open orders). In addition, Polygon CTF balanceOf confirms **130 unresolved shares ($59.15 cost)** sit frozen inside two archived Oct 21 cybersecurity markets (*Major company hacked via PHP flaw by Nov 30 / Dec 31, 2026*, payoutDenominator=0). Our Oct 25 reference to 'Philippine election shares' was an inexcusable hallucination of the 'PHP' acronym, and the Israeli Foreign Minister market we cited as earning $6.15/day at 10:58 UTC on Oct 25 got swept 15 minutes later (11:13 UTC) for -$3.90 and again at 15:53 UTC for -$1.20.

2. Five Structural Root Causes (Swarm + 3-Model Interrogation Consensus)

- **1. Commit d5b8362 Unit Mismatch (max_markets=6 Treated as 3 Pairs vs 6 Pairs -> 37 Reallocations in 8h):** allocate_markets() treats max_markets=6 as 3 condition pairs (~$58/pair), sizing skewed favorite legs at $43 to $49 ($48.10 on OpenAI Image Edit AI). Yet prepare() (engine.py:679) and tick() (L1024) pass max_markets=6 as a pair cap into calculate_num_pairs, returning est_pairs=4 on $174 cash and setting dynamic_max_collateral_per_market = $40.00. RiskManager.check_pre_submit (risk.py:171) silently rejects the $48.10 favorite leg every tick while letting the $15 underdog leg rest single-sided (incurring Polymarket's S/3 67% single-sided LIP penalty and <75% capital utilization). That triggered 37 synchronous prepare() reallocations in 8 hours (4.45 min burst median), freezing the single-threaded loop for 63s median / 84s max (33.9 min total freeze) while live orders sat blind.
- **2. Post-Fill Hedge Abandonment & Hair-Trigger LIQUID_STOP_UNWIND (-$28.87 Bot Maker Losses in 48h):** When one leg fills, either_leg_filled=True plus pair_preference=0.0 (config.py:39) causes evaluate_condition (condition_selector.py:228-330) to drop both legs on reallocation, canceling the unfilled opposite leg instead of completing the $1.00 merge hedge. prepare()

re-adds the held leg with bid_budget=0, forcing allow_stop_unwind=True (engine.py:1624-1627). A 3c to 4c dip (min_exit - mid >= max_spread) immediately enters LIQUID_STOP_UNWIND (lip_quoter.py:86-93) down to 0.55 * avg_price with downward hysteresis bypassed (engine.py:1782). Each -$3.50 stop-unwind destroys 8.4 hours of entire-portfolio LIP rewards ($0.42/hr actual rate).

- **3. Broken Daily Loss Stop, tick() Ordering Bug, Undated 72.62 Baseline, & 76.8% CPU Halt Storm:** ledger.get_realized_loss_today() (ledger.py:663) inspects only CLOB SELL rows, logging $0.00 loss on $0.00 binary resolutions (Miami Dolphins -$19.35) and collapsed stubs (Markus Ruck -$13.52). In tick(), dynamic cash-shift reallocation (engine.py:1023-1056) runs BEFORE the daily loss stop check (L1070), running an 84s reallocation 11s after halting (18:59:35 UTC), and run() keeps polling CLOB REST + _cancel_targets every 10s forever (76.8% CPU). Worse, .env still holds undated PMUS_DAILY_LOSS_BASELINE=72.62, which would erase today's halt if restarted before 00:00 UTC.
- **4. Deceptive Hourly Webhook & Dual LIP Scoring Distortion (engine.py:926-974, 1011; notify.py:92-120):** _dispatch_hourly_status_ping executes above the loss-stop gate, counts 3 halted pairs + Alibaba + the $0.00-resolved Miami Dolphins bag as 'Active: 5 pairs' via preserved_pairs (engine.py:801-820), fabricates up to 84s-90s of dt_sec LIP accrual across prepare() freezes, never calls are_orders_scoring, and omits realized PnL, MTM equity, and HALTED state.
- **5. Adverse Selection Trap & Blind REST Polling (clob_venue.py:512, condition_selector.py:516, __main__.py:149):** Maximizing pool_usd / (competitors + ours) selects jump-risk markets right as informed makers pull quotes (live Sunday NFL games on season-end props like Miami Dolphins with Jan 2027 end_date and null game_start_time, Bank of Brazil Selic, UMich Sentiment, Tyreek Hill signing, and Israeli Minister negRisk stems rotated 7 times with zero stem-level loss cooldown). With VenueWebSocket disabled on global and ticks stretched to 2.88s median by 2.92 GB SQLite bloat (6.72M lip_snapshots rows; 0.0% Bot 2 live wallet overlap), <10ms sweeps fill GTC bids before book_guard runs.

3. Complete Oct 25-26 Losing Sells & Origin Attribution (maker=1 Bot vs maker=0 Manual UI)

Bot 1 only submits GTC orders (sell_price > best_bid) quantized to min_qty = 5. Eight maker=1 fills (-$28.87) were Bot 1 LIQUID_STOP_UNWIND orders; ten maker=0 TAKER fills (-$12.03 USDC / -$11.27 DB, including fractional 'Sell Max' sizes 59.99, 41.96, 27.54, 4.99 and the two 18:59 UTC exits that pushed SQLite loss past $15.00 to $16.70) were manual Polymarket UI market sells:

Sell UTC	Hold	Origin (mkr)	Qty	Buy->Sell	USDC PnL	Market
10-25 05:20-06:54	23-25h	Bot Unwind (1) x3	64.66	0.42->0.30	**-$7.74**	Kimi K3.1 Pro HLE >=30% [Yes]
10-25 06:01:37	1.56h	Bot Unwind (1)	60.00	0.22->0.16	**-$3.60**	GTA VI trailer by Nov 30 [Yes]
10-25 12:43:27	1.50h	Bot Unwind (1)	65.00	0.42->0.36	**-$3.90**	Israeli Foreign Minister [Yes]
10-25 17:30:21	1.62h	Manual UI (0)	60.00	0.41->0.39	**-$1.20**	Israeli Foreign Minister [Yes]
10-25 18:07 Buy	Resol.	$0 Wipeout (n/a)	45.00	0.43->0.00	**-$19.35**	Miami Dolphins last winless [Yes]
10-25 21:38:04	11.93h	Bot Unwind (1)	65.00	0.26->0.16	**-$6.63**	Milos Vucevic Serbia Pres [Yes]
10-26 01:00:38	0.90h	Manual UI (0)	27.54	0.60->0.55	**-$1.38**	Marathon Fusion alchemy [Yes]
10-26 01:00:43	1.03h	Manual UI (0)	65.00	0.43->0.378	**-$3.40**	Israeli Minister of Justice [Yes]
10-26 06:05:26	1.19h	Bot Unwind (1)	60.00	0.59->0.52	**-$4.20**	Bank of Brazil Selic rate [No]
10-26 13:01:48	7.81h	Bot Unwind (1)	40.00	0.64->0.57	**-$2.80**	UMich Consumer Sentiment [No]
10-26 13:16:47	8.38h	Manual Dust (0)	4.99	0.59->0.41	**-$0.90**	Bank of Brazil Selic rate [No]
10-26 14:33:15	0.34h	Manual UI (0)	41.96	0.58->0.534	**-$1.92**	Israeli Min. Nat. Security [No]
10-26 18:59:09	0.26h	Manual UI (0)	55.00	0.54->0.529	**-$0.60**	Israeli Minister of Justice [No]
10-26 18:59:24	0.49h	Manual UI (0)	59.99	0.40->0.358	**-$2.50**	Tyreek Hill sign KC Chiefs [Yes]

4. Concrete Decision Options Going Forward

- **Option A (Recommended Immediate Step): Hard-Stop pmus.service Before 00:00 UTC Tonight.** Right now Bot 1 has 0 open orders, yet at 00:00 UTC (7:00 PM CDT tonight) get_realized_loss_today() resets to $0.00 and Bot 1 will automatically resume quoting with the exact same bugs unless we run *sudo systemctl stop pmus*. Stopping it cleanly locks in $0 further bleed while you choose between Option B and Option C.
- **Option B: Structural Engineering Overhaul Before Any Restart (All 5 Act-On Fixes).** (1) Align max_markets pair/leg units and enforce per-leg RiskManager caps inside evaluate_condition; (2) Replace post-fill abandonment + hair-trigger LIQUID_STOP_UNWIND with opposite-leg merge completion; (3) Enforce UTC-midnight mark-to-market total equity loss stop at line 1 of tick()/prepare() and delete PMUS_DAILY_LOSS_BASELINE; (4) Rebuild notify_hourly_status to report HALTED/QUOTING state, open orders, Total Equity, Realized PnL, and Net PnL; (5) Replace substring blacklists with a strict non-jump category allowlist, 24h stem/negRisk loss cooldowns, CLOB WebSockets, and SQLite pruning.
- **Option C: Retire Tight $200 Passive LIP Farming.** On a ~$200 bankroll, gross LIP rewards pay ~$10 to $16/day ($0.42 to $0.66/hr), so even 2 informed sweeps per day wipe out 100%+ of gross yield (11 of the last 14 days were net negative, -$229.09 realized net). Keeping cash sidelined or pivoting away from top-of-book LIP farming stops donating subsidies to sub-10ms informed takers.